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2. Net profit is
   (a) Debited to capital account
   (b) Credited to capital account
   (c) Debited to drawings account
   (d) Credited to drawings account

3. Closing stock is valued at
   (a) Cost price
   (b) Market price
   (c) Cost price or market price whichever is higher
   (d) Cost price or net realisable value whichever is lower

4. Accrued interest on investment will be shown
   (a) On the credit side of profit and loss account
   (b) On the assets side of balance sheet
   (c) Both (a) and (b)
   (d) None of these

5. If there is no existing provision for doubtful debts, provision created for doubtful debts is
   (a) Debited to bad debts account
   (b) Debited to sundry debtors account
   (c) Credited to bad debts account
   (d) Debited to profit and loss account

Answers

1 (c)	2 (b)	3 (d)	4 (c)	5 (d)

II Very short answer questions

1. What are adjusting entries?
2. What is outstanding expense?
3. What is prepaid expense?
4. What are accrued incomes?
5. What is provision for discount on debtors?

III Short answer questions

1. What is the need for preparing final accounts?
2. What is meant by provision for doubtful debts? Why is it created?
3. Explain how closing stock is treated in final accounts.
4. Give the adjusting entries for interest on capital and interest on drawings.
5. Explain the accounting treatment of bad debts, provision for doubtful debts and provision for discount on debtors.